



GCCs ACCOUNT FOR 60% NET REVENUE

Neeti Sharma of TeamLease Digital on how Tier II cities are becoming pivotal for GCC expansion

BY RAHUL OBEROI

MORE THAN 2.1 MILLION professionals are employed with global capability centres (GCC) in India. With hiring expected to see a sharp uptick going forward, staffing firms can play a key role in the growth of GCCs. Neeti Sharma, CEO, TeamLease Digital, in an exclusive interaction with *Business Today*, discusses changing hiring trends with the evolution of GCCs and how small cities are also contributing. Edited excerpts:



Why has the trend changed towards GCC hiring over IT hiring?

The hiring trend has shifted significantly, with GCCs now driving much of the demand that earlier centred around IT services firms. GCCs are hiring

software professionals at much higher salaries. This shift has helped us maintain our revenue run rate, even though the volume of GCC hiring is still only about a fourth of what IT firms used to hire. GCCs' margins have helped us improve our profitability.

With GCCs contributing over 60% of our net revenue, they generate higher revenue per associate and contribute meaningfully to margin enhancement. Additionally, the expansion of our bot engagements with many GCCs has allowed us to move up the value chain by offering integrated workforce solutions.



Are Tier II and Tier III cities seeing increased

hiring by GCCs? If yes, from which sectors?

While there is an increase in GCC hiring from Tier II cities, there is not much action in Tier III cities yet. These cities are becoming pivotal for GCC expansion due to cost advantages, access to a growing talent pool and recent infrastructure development.

Sectors driving this growth include technology (especially data science, product management and data engineering), engineering and business operations. Cities like Ahmedabad, Indore, Mysuru, Vadodara, Nashik, Tirunelveli, Bhubaneswar and Coimbatore have emerged as key hubs for GCC expansion.



What challenges do you face in fulfilling the growing needs of GCCs?

Most GCCs are keen on hiring candidates with a combination of domain as well as technical skills and that remains a key challenge for us. While we have a robust pipeline of candidates with either domain or tech skills, many candidates lack the depth of expertise required.

Additionally, as GCCs expand into Tier II and Tier III cities, infrastructure and connectivity issues—such as limited access to international airports—can pose operational challenges.



What role can staffing companies play in helping India become the GCC capital in the coming decade?

It is very crucial for GCCs in the early stages to build organisation structures, understand the talent heatmap and hire the right teams—from leaders to all employees over a period of time—and stay compliant with India's labour laws and policies.

A staffing company like ours helps GCCs in workforce planning, compliance, accessing talent pools, upskilling and ensuring that they scale up efficiently and maintain global standards.